

**SUBSTITUTE FOR
HOUSE BILL NO. 5984**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 6, 18, and 101 (MCL 388.1606, 388.1618, and
388.1701), sections 6 and 18 as amended by 2025 PA 15 and section
101 as amended by 2026 PA 15.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 6. (1) "Center program" means a program operated by a
2 district or by an intermediate district for special education
3 pupils from several districts in programs for pupils with autism
4 spectrum disorder, pupils with severe cognitive impairment, pupils
5 with moderate cognitive impairment, pupils with severe multiple
6 impairments, pupils with hearing impairment, pupils with visual
7 impairment, and pupils with physical impairment or other health



1 impairment. Programs for pupils with emotional impairment housed in
2 buildings that do not serve regular education pupils also qualify.
3 Unless otherwise approved by the department, a center program
4 either serves all constituent districts within an intermediate
5 district or serves several districts with less than 50% of the
6 pupils residing in the operating district. In addition, special
7 education center program pupils placed part-time in noncenter
8 programs to comply with the least restrictive environment
9 provisions of section 1412 of the individuals with disabilities
10 education act, 20 USC 1412, may be considered center program pupils
11 for pupil accounting purposes for the time scheduled in either a
12 center program or a noncenter program.

13 (2) "District and high school graduation rate" means the
14 annual completion and pupil dropout rate that is calculated by the
15 center pursuant to nationally recognized standards.

16 (3) "District and high school graduation report" means a
17 report of the number of pupils, excluding adult education
18 participants, in the district for the immediately preceding school
19 year, adjusted for those pupils who have transferred into or out of
20 the district or high school, who leave high school with a diploma
21 or other credential of equal status.

22 (4) "Membership", except as otherwise provided in this
23 article, means for a district, a public school academy, or an
24 intermediate district the sum of the product of .90 times the
25 number of full-time equated pupils in grades K to 12 actually
26 enrolled and in regular daily attendance in the district, public
27 school academy, or intermediate district on the pupil membership
28 count day for the current school year, plus the product of .10
29 times the final audited count from the supplemental count day of



1 full-time equated pupils in grades K to 12 actually enrolled and in
2 regular daily attendance in the district, public school academy, or
3 intermediate district for the immediately preceding school year. A
4 district's, public school academy's, or intermediate district's
5 membership is adjusted as provided under section 25e for pupils who
6 enroll after the pupil membership count day in a strict discipline
7 academy operating under sections 1311b to 1311m of the revised
8 school code, MCL 380.1311b to 380.1311m. All pupil counts used in
9 this subsection are as determined by the department and calculated
10 by adding the number of pupils registered for attendance plus
11 pupils received by transfer and minus pupils lost as defined by
12 rules promulgated by the superintendent, and as corrected by a
13 subsequent department audit. The amount of the foundation allowance
14 for a pupil in membership is determined under section 20. In making
15 the calculation of membership, all of the following, as applicable,
16 apply to determining the membership of a district, a public school
17 academy, or an intermediate district:

18 (a) Except as otherwise provided in this subsection, and
19 pursuant to subsection (6), a pupil is counted in membership in the
20 pupil's educating district or districts. Except as otherwise
21 provided in this subsection, an individual pupil must not be
22 counted for more than a total of 1.0 full-time equated membership.

23 (b) If a pupil is educated in a district other than the
24 pupil's district of residence, if the pupil is not being educated
25 as part of a cooperative education program, if the pupil's district
26 of residence does not give the educating district its approval to
27 count the pupil in membership in the educating district, and if the
28 pupil is not covered by an exception specified in subsection (6) to
29 the requirement that the educating district must have the approval



1 of the pupil's district of residence to count the pupil in
2 membership, the pupil is not counted in membership in any district.

3 (c) A special education pupil educated by the intermediate
4 district is counted in membership in the intermediate district.

5 (d) A pupil placed by a court or state agency in an on-grounds
6 program of a juvenile detention facility, a child caring
7 institution, or a mental health institution, or a pupil funded
8 under section 53a, is counted in membership in the district or
9 intermediate district approved by the department to operate the
10 program.

11 (e) A pupil enrolled in the Michigan Schools for the Deaf and
12 Blind is counted in membership in the pupil's intermediate district
13 of residence.

14 (f) A pupil enrolled in a career and technical education
15 program supported by a millage levied over an area larger than a
16 single district or in an area vocational-technical education
17 program established under section 690 of the revised school code,
18 MCL 380.690, is counted in membership only in the pupil's district
19 of residence.

20 (g) A pupil enrolled in a public school academy is counted in
21 membership in the public school academy.

22 (h) For the purposes of this section and section 6a, for a
23 cyber school, as that term is defined in section 551 of the revised
24 school code, MCL 380.551, that is in compliance with section 553a
25 of the revised school code, MCL 380.553a, a pupil's participation
26 in the cyber school's educational program is considered regular
27 daily attendance, and for a district or public school academy, a
28 pupil's participation in a virtual course as that term is defined
29 in section 21f is considered regular daily attendance. Beginning



1 July 1, 2021, this subdivision is subject to section 8c. It is the
2 intent of the legislature that the immediately preceding sentence
3 apply retroactively and is effective July 1, 2021. For the purposes
4 of this subdivision, for a pupil enrolled in a cyber school, all of
5 the following apply with regard to the participation requirement as
6 described in this subdivision:

7 (i) Except as otherwise provided in this subdivision, the pupil
8 shall participate in each scheduled course on pupil membership
9 count day or supplemental count day, as applicable. If the pupil is
10 absent on pupil membership count day or supplemental count day, as
11 applicable, the pupil must attend and participate in class during
12 the next 10 consecutive school days if the absence was unexcused,
13 or during the next 30 calendar days if the absence was excused.

14 (ii) For a pupil who is not learning sequentially, 1 or more of
15 the following must be met on pupil membership count day or
16 supplemental count day, as applicable, for each scheduled course to
17 satisfy the participation requirement under this subdivision:

18 (A) The pupil attended a live lesson from the teacher.

19 (B) The pupil logged into a lesson or lesson activity and the
20 login can be documented.

21 (C) The pupil and teacher engaged in a subject-oriented
22 telephone conversation.

23 (D) There is documentation of an email dialogue between the
24 pupil and teacher.

25 (E) There is documentation of activity or work between the
26 learning coach and pupil.

27 (F) An alternate form of attendance as determined and agreed
28 upon by the cyber school and the pupil membership auditor was met.

29 (iii) For a pupil using sequential learning, the participation

1 requirement under this subdivision is satisfied if either of the
2 following occurs:

3 (A) Except as otherwise provided in this sub-subparagraph, the
4 pupil and the teacher of record or mentor complete a 2-way
5 interaction for 1 course during the week on which pupil membership
6 count day or supplemental count day, as applicable, occurs, and the
7 3 consecutive weeks following that week. However, if a school break
8 is scheduled during any of the weeks described in this sub-
9 subparagraph that is 4 or more days in length or instruction has
10 been canceled districtwide during any of the weeks described in
11 this sub-subparagraph for 3 or more school days, the district is
12 not required to ensure that the pupil and the teacher of record or
13 mentor completed a 2-way interaction for that week. As used in this
14 sub-subparagraph:

15 (I) "2-way interaction" means the communication that occurs
16 between the teacher of record or mentor and pupil, where 1 party
17 initiates communication and a response from the other party follows
18 that communication. Responses as described in this sub-sub-
19 subparagraph must be to the communication initiated by the teacher
20 of record or mentor, and not some other action taken. This
21 interaction may occur through, but is not limited to, means such as
22 email, telephone, instant messaging, or face-to-face conversation.
23 A parent- or legal-guardian-facilitated 2-way interaction is
24 considered a 2-way interaction if the pupil is in any of grades K
25 to 5 and does not yet possess the skills necessary to participate
26 in 2-way interactions unassisted. The interactions described in
27 this sub-sub-subparagraph must relate to a virtual course on the
28 pupil's schedule and pertain to course content or progress.

29 (II) "Mentor" means a professional employee of the district



1 who monitors the pupil's progress, ensures the pupil has access to
2 needed technology, is available for assistance, and ensures access
3 to the teacher of record. A mentor may also be the teacher of
4 record if the mentor meets the definition of a teacher of record
5 under this sub-subparagraph and the district is the provider for
6 the course.

7 (III) "Teacher of record" means a teacher to whom all of the
8 following apply:

9 (1) The teacher is responsible for providing instruction,
10 determining instructional methods for each pupil, diagnosing
11 learning needs, assessing pupil learning, prescribing intervention
12 strategies and modifying lessons, reporting outcomes, and
13 evaluating the effects of instruction and support strategies. The
14 teacher of record may coordinate the distribution and assignment of
15 the responsibilities described in this sub-sub-sub-subparagraph
16 with other teachers participating in the instructional process for
17 a course.

18 (2) The teacher is certified for the grade level or is working
19 under a valid substitute permit, authorization, or approval issued
20 by the department.

21 (3) The teacher has a personnel identification code provided
22 by the center.

23 (IV) "Week" means a period that starts on Wednesday and ends
24 the following Tuesday.

25 (B) The pupil completes a combination of 1 or more of the
26 following activities for each scheduled course on pupil membership
27 count day or supplemental count day, as applicable:

28 (I) Documented attendance in a virtual course where
29 synchronous, live instruction occurred with the teacher.



(II) Documented completion of a course assignment.

(III) Documented completion of a course lesson or lesson activity.

(IV) Documented pupil access to an ongoing lesson, which does not include a login.

(V) Documented physical attendance on pupil membership count day or supplemental count day, as applicable, in each scheduled course, if the pupil will attend at least 50% of the instructional time for each scheduled course on-site, face-to-face with the teacher of record. As used in this sub-sub-subparagraph, "teacher of record" means that term as defined in subparagraph (iii) (A).

(iv) For purposes of subparagraph (iii), each scheduled course currently being attempted by the pupil, rather than every course on the pupil's schedule for the entire term, is considered a part of each scheduled course for the pupil.

(i) For a new district or public school academy beginning its operation after December 31, 1994, membership for the first 2 full or partial fiscal years of operation is determined as follows:

(i) If operations begin before the pupil membership count day for the fiscal year, membership is the average number of full-time equated pupils in grades K to 12 actually enrolled and in regular daily attendance on the pupil membership count day for the current school year and on the supplemental count day for the current school year, as determined by the department and calculated by adding the number of pupils registered for attendance on the pupil membership count day plus pupils received by transfer and minus pupils lost as defined by rules promulgated by the superintendent, and as corrected by a subsequent department audit, plus the final audited count from the supplemental count day for the current



1 school year, and dividing that sum by 2.

2 (ii) If operations begin after the pupil membership count day
3 for the fiscal year and not later than the supplemental count day
4 for the fiscal year, membership is the final audited count of the
5 number of full-time equated pupils in grades K to 12 actually
6 enrolled and in regular daily attendance on the supplemental count
7 day for the current school year.

8 (j) If a district is the authorizing body for a public school
9 academy, then, in the first school year in which pupils are counted
10 in membership on the pupil membership count day in the public
11 school academy, the determination of the district's membership
12 excludes from the district's pupil count for the immediately
13 preceding supplemental count day any pupils who are counted in the
14 public school academy on that first pupil membership count day who
15 were also counted in the district on the immediately preceding
16 supplemental count day.

17 (k) For an extended school year program approved by the
18 superintendent, a pupil enrolled, but not scheduled to be in
19 regular daily attendance, on a pupil membership count day, is
20 counted in membership.

21 (l) To be counted in membership, a pupil must meet the minimum
22 age requirement to be eligible to attend school under section 1147
23 of the revised school code, MCL 380.1147, and must be less than 20
24 years of age on September 1 of the school year except as follows:

25 (i) A special education pupil who is enrolled and receiving
26 instruction in a special education program or service approved by
27 the department, who does not have a high school diploma, and who is
28 less than 26 years of age as of September 1 of the current school
29 year is counted in membership.



1 (ii) A pupil who is determined by the department to meet all of
2 the following may be counted in membership:

3 (A) Is enrolled in a public school academy or an alternative
4 education high school diploma program, that is primarily focused on
5 educating pupils with extreme barriers to education, such as being
6 homeless as that term is defined under 42 USC 11302.

7 (B) Had dropped out of school.

8 (C) Is less than 22 years of age as of September 1 of the
9 current school year.

10 (iii) If a child does not meet the minimum age requirement to be
11 eligible to attend school for that school year under section 1147
12 of the revised school code, MCL 380.1147, but will be 5 years of
13 age not later than December 1 of that school year, the district may
14 count the child in membership for that school year if the parent or
15 legal guardian has notified the district in writing that the parent
16 or legal guardian intends to enroll the child in kindergarten for
17 that school year.

18 (m) An individual who has achieved a high school diploma is
19 not counted in membership. An individual who has achieved a high
20 school equivalency certificate is not counted in membership unless
21 the individual is a student with a disability as that term is
22 defined in R 340.1702 of the Michigan Administrative Code. An
23 individual participating in a job training program funded under
24 ~~former~~ section 107a or a jobs program funded under former section
25 107b, administered by the department of labor and economic
26 opportunity, or participating in any successor of either of those 2
27 programs, is not counted in membership.

28 (n) If a pupil counted in membership in a public school
29 academy is also educated by a district or intermediate district as



1 part of a cooperative education program, the pupil is counted in
2 membership only in the public school academy unless a written
3 agreement signed by all parties designates the party or parties in
4 which the pupil is counted in membership, and the instructional
5 time scheduled for the pupil in the district or intermediate
6 district is included in the full-time equated membership
7 determination under subdivision (q) and section 101. However, for
8 pupils receiving instruction in both a public school academy and in
9 a district or intermediate district but not as a part of a
10 cooperative education program, the following apply:

11 (i) If the public school academy provides instruction for at
12 least 1/2 of the class hours required under section 101, the public
13 school academy receives as its prorated share of the full-time
14 equated membership for each of those pupils an amount equal to 1
15 times the product of the hours of instruction the public school
16 academy provides divided by the number of hours required under
17 section 101 for full-time equivalency, and the remainder of the
18 full-time membership for each of those pupils is allocated to the
19 district or intermediate district providing the remainder of the
20 hours of instruction.

21 (ii) If the public school academy provides instruction for less
22 than 1/2 of the class hours required under section 101, the
23 district or intermediate district providing the remainder of the
24 hours of instruction receives as its prorated share of the full-
25 time equated membership for each of those pupils an amount equal to
26 1 times the product of the hours of instruction the district or
27 intermediate district provides divided by the number of hours
28 required under section 101 for full-time equivalency, and the
29 remainder of the full-time membership for each of those pupils is

1 allocated to the public school academy.

2 (o) An individual less than 16 years of age as of September 1
3 of the current school year who is being educated in an alternative
4 education program is not counted in membership if there are also
5 adult education participants being educated in the same program or
6 classroom.

7 (p) The department shall give a uniform interpretation of
8 full-time and part-time memberships.

9 (q) The number of class hours used to calculate full-time
10 equated memberships must be consistent with section 101. In
11 determining full-time equated memberships for pupils who are
12 enrolled in a postsecondary institution or for pupils engaged in an
13 internship or work experience under section 1279h of the revised
14 school code, MCL 380.1279h, a pupil is not considered to be less
15 than a full-time equated pupil solely because of the effect of the
16 pupil's postsecondary enrollment or engagement in the internship or
17 work experience, including necessary travel time, on the number of
18 class hours provided by the district to the pupil.

19 (r) Full-time equated memberships for pupils in kindergarten
20 are determined by dividing the number of instructional hours
21 scheduled and provided per year per kindergarten pupil by the same
22 number used for determining full-time equated memberships for
23 pupils in grades 1 to 12. However, to the extent allowable under
24 federal law, for a district or public school academy that provides
25 evidence satisfactory to the department that it used federal title
26 I money in the 2 immediately preceding school fiscal years to fund
27 full-time kindergarten, full-time equated memberships for pupils in
28 kindergarten are determined by dividing the number of class hours
29 scheduled and provided per year per kindergarten pupil by a number



1 equal to 1/2 the number used for determining full-time equated
2 memberships for pupils in grades 1 to 12. The change in the
3 counting of full-time equated memberships for pupils in
4 kindergarten that took effect for 2012-2013 is not a mandate.

5 (s) For a district or a public school academy that has pupils
6 enrolled in a grade level that was not offered by the district or
7 public school academy in the immediately preceding school year, the
8 number of pupils enrolled in that grade level to be counted in
9 membership is the average of the number of those pupils enrolled
10 and in regular daily attendance on the pupil membership count day
11 and the supplemental count day of the current school year.
12 Membership is calculated by adding the number of pupils registered
13 for attendance in that grade level on the pupil membership count
14 day plus pupils received by transfer and minus pupils lost as
15 defined by rules promulgated by the superintendent, and as
16 corrected by subsequent department audit, plus the final audited
17 count from the supplemental count day for the current school year,
18 and dividing that sum by 2.

19 (t) A pupil enrolled in a cooperative education program may be
20 counted in membership in the pupil's district of residence with the
21 written approval of all parties to the cooperative agreement.

22 (u) If, as a result of a disciplinary action, a district
23 determines through the district's alternative or disciplinary
24 education program that the best instructional placement for a pupil
25 is in the pupil's home or otherwise apart from the general school
26 population, if that placement is authorized in writing by the
27 district superintendent and district alternative or disciplinary
28 education supervisor, and if the district provides appropriate
29 instruction as described in this subdivision to the pupil at the



pupil's home or otherwise apart from the general school population, the district may count the pupil in membership on a pro rata basis, with the proration based on the number of hours of instruction the district actually provides to the pupil divided by the number of hours required under section 101 for full-time equivalency. For the purposes of this subdivision, a district is considered to be providing appropriate instruction if all of the following are met:

(i) The district provides at least 2 nonconsecutive hours of instruction per week to the pupil at the pupil's home or otherwise apart from the general school population under the supervision of a certificated teacher.

(ii) The district provides instructional materials, resources, and supplies that are comparable to those otherwise provided in the district's alternative education program.

(iii) Course content is comparable to that in the district's alternative education program.

(iv) Credit earned is awarded to the pupil and placed on the pupil's transcript.

(v) If a pupil was enrolled in a public school academy on the pupil membership count day, if the public school academy's contract with its authorizing body is revoked or the public school academy otherwise ceases to operate, and if the pupil enrolls in a district within 45 days after the pupil membership count day, the department shall adjust the district's pupil count for the pupil membership count day to include the pupil in the count.

(w) For a public school academy that has been in operation for at least 2 years and that suspended operations for at least 1 semester and is resuming operations, membership is the sum of the product of .90 times the number of full-time equated pupils in



1 grades K to 12 actually enrolled and in regular daily attendance on
2 the first pupil membership count day or supplemental count day,
3 whichever is first, occurring after operations resume, plus the
4 product of .10 times the final audited count from the most recent
5 pupil membership count day or supplemental count day that occurred
6 before suspending operations, as determined by the superintendent.

7 (x) If a district's membership for a particular fiscal year,
8 as otherwise calculated under this subsection, would be less than
9 1,550 pupils, the district has 4.5 or fewer pupils per square mile,
10 as determined by the department, and the district does not receive
11 funding under section 22d(2), the district's membership is
12 considered to be the membership figure calculated under this
13 subdivision. If a district educates and counts in its membership
14 pupils in grades 9 to 12 who reside in a contiguous district that
15 does not operate grades 9 to 12 and if 1 or both of the affected
16 districts request the department to use the determination allowed
17 under this sentence, the department shall include the square
18 mileage of both districts in determining the number of pupils per
19 square mile for each of the districts for the purposes of this
20 subdivision. If a district has established a community engagement
21 advisory committee in partnership with the department of treasury,
22 is required to submit a deficit elimination plan or an enhanced
23 deficit elimination plan under section 1220 of the revised school
24 code, MCL 380.1220, and is located in a city with a population
25 between 9,000 and 11,000, as determined by the department, that is
26 in a county with a population between 150,000 and 160,000, as
27 determined by the department, the district's membership is
28 considered to be the membership figure calculated under this
29 subdivision. The membership figure calculated under this



subdivision is the greater of the following:

(i) The average of the district's membership for the 3-fiscal-year period ending with that fiscal year, calculated by adding the district's actual membership for each of those 3 fiscal years, as otherwise calculated under this subsection, and dividing the sum of those 3 membership figures by 3.

(ii) The district's actual membership for that fiscal year as otherwise calculated under this subsection.

(y) Full-time equated memberships for special education pupils who are not enrolled in kindergarten but are enrolled in a classroom program under R 340.1754 of the Michigan Administrative Code are determined by dividing the number of class hours scheduled and provided per year by 450. Full-time equated memberships for special education pupils who are not enrolled in kindergarten but are receiving early childhood special education services under R 340.1755 or R 340.1862 of the Michigan Administrative Code are determined by dividing the number of hours of service scheduled and provided per year per pupil by 180.

(z) A pupil of a district that begins its school year after Labor Day who is enrolled in an intermediate district program that begins before Labor Day is not considered to be less than a full-time pupil solely due to instructional time scheduled but not attended by the pupil before Labor Day.

(aa) For the first year in which a pupil is counted in membership on the pupil membership count day in a middle college program, the membership is the average of the full-time equated membership on the pupil membership count day and on the supplemental count day for the current school year, as determined by the department. If a pupil described in this subdivision was



1 counted in membership by the operating district on the immediately
2 preceding supplemental count day, the pupil is excluded from the
3 district's immediately preceding supplemental count for the
4 purposes of determining the district's membership.

5 (bb) A district or public school academy that educates a pupil
6 who attends a United States Olympic Education Center may count the
7 pupil in membership regardless of whether or not the pupil is a
8 resident of this state.

9 (cc) A pupil enrolled in a district other than the pupil's
10 district of residence under section 1148(2) of the revised school
11 code, MCL 380.1148, is counted in the educating district.

12 (dd) For a pupil enrolled in a dropout recovery program that
13 meets the requirements of section 23a, the pupil is counted as 1/12
14 of a full-time equated membership for each month that the district
15 operating the program reports that the pupil was enrolled in the
16 program and was in full attendance or based on the number of
17 successfully completed courses by the pupil with each course
18 equivalent to 1/12 of a full-time equated membership. A district
19 may claim more than 1/12 of a full-time equated membership within a
20 month for an enrolled pupil who was in full attendance and
21 successfully completed more than 1 required course. However, if the
22 special membership counting provisions under this subdivision and
23 the operation of the other membership counting provisions under
24 this subsection result in a pupil being counted as more than 1.0
25 FTE in a fiscal year, the payment made for the pupil under sections
26 22a and 22b must not be based on more than 1.0 FTE for that pupil,
27 and any portion of an FTE for that pupil that exceeds 1.0 is
28 instead paid under section 25g. The district operating the program
29 shall report to the center the number of pupils who were enrolled



1 in the program and were in full attendance for a month not later
2 than 30 days after the end of the month. A district shall not
3 report a pupil as being in full attendance for a month unless both
4 of the following are met:

5 (i) A personalized learning plan is in place on or before the
6 first school day of the month for the first month the pupil
7 participates in the program.

8 (ii) Either of the following is met:

9 (A) The pupil meets the district's definition under section
10 23a of satisfactory monthly progress for that month or, if the
11 pupil does not meet that definition of satisfactory monthly
12 progress for that month, the pupil did meet that definition of
13 satisfactory monthly progress in the immediately preceding month
14 and appropriate interventions, as defined by the district, are
15 implemented within 10 school days after it is determined that the
16 pupil does not meet that definition of satisfactory monthly
17 progress.

18 (B) For the first 2 months that the pupil participates in the
19 program, the pupil earns 0.25 credit by the end of the second
20 month. A pupil described in this sub-subparagraph may be
21 retroactively reported as being in full attendance for the first
22 month that the pupil participated in the program.

23 (ee) A pupil participating in a virtual course under section
24 21f is counted in membership in the district enrolling the pupil.

25 (ff) If a public school academy that is not in its first or
26 second year of operation closes at the end of a school year and
27 does not reopen for the next school year, the department shall
28 adjust the membership count of the district or other public school
29 academy in which a former pupil of the closed public school academy



1 enrolls and is in regular daily attendance for the next school year
2 to ensure that the district or other public school academy receives
3 the same amount of membership aid for the pupil as if the pupil
4 were counted in the district or other public school academy on the
5 supplemental count day of the preceding school year.

6 (gg) If a special education pupil is expelled under section
7 1311 or 1311a of the revised school code, MCL 380.1311 and
8 380.1311a, and is not in attendance on the pupil membership count
9 day because of the expulsion, and if the pupil remains enrolled in
10 the district and resumes regular daily attendance during that
11 school year, the district's membership is adjusted to count the
12 pupil in membership as if the pupil had been in attendance on the
13 pupil membership count day.

14 (hh) A pupil enrolled in a community district is counted in
15 membership in the community district.

16 (ii) A part-time pupil enrolled in a nonpublic school in
17 grades K to 12 in accordance with section 166b must not be counted
18 as more than 0.75 of a full-time equated membership.

19 (jj) A district that borders another state or a public school
20 academy that operates at least grades 9 to 12 and is located within
21 20 miles of a border with another state may count in membership a
22 pupil who is enrolled in a course at a college or university that
23 is located in the bordering state and within 20 miles of the border
24 with this state if all of the following are met:

25 (i) The pupil would meet the definition of an eligible student
26 under the postsecondary enrollment options act, 1996 PA 160, MCL
27 388.511 to 388.524, if the course were an eligible course under
28 that act.

29 (ii) The course in which the pupil is enrolled would meet the



1 definition of an eligible course under the postsecondary enrollment
2 options act, 1996 PA 160, MCL 388.511 to 388.524, if the course
3 were provided by an eligible postsecondary institution under that
4 act.

5 (iii) The department determines that the college or university
6 is an institution that, in the other state, fulfills a function
7 comparable to a state university or community college, as those
8 terms are defined in section 3 of the postsecondary enrollment
9 options act, 1996 PA 160, MCL 388.513, or is an independent
10 nonprofit degree-granting college or university.

11 (iv) The district or public school academy pays for a portion
12 of the pupil's tuition at the college or university in an amount
13 equal to the eligible charges that the district or public school
14 academy would pay to an eligible postsecondary institution under
15 the postsecondary enrollment options act, 1996 PA 160, MCL 388.511
16 to 388.524, as if the course were an eligible course under that
17 act.

18 (v) The district or public school academy awards high school
19 credit to a pupil who successfully completes a course as described
20 in this subdivision.

21 (kk) A pupil enrolled in a middle college program may be
22 counted for more than a total of 1.0 full-time equated membership
23 for any of the school years in which the pupil is enrolled in the
24 middle college program, but the total full-time equated membership
25 for that pupil for all of the school years in which the pupil is
26 enrolled in high school must not be greater than 5.00 full-time
27 equated membership if the pupil is enrolled in more than the
28 minimum number of instructional days and hours required under
29 section 101 and the pupil is expected to complete the 5-year

1 program with both a high school diploma and at least 60
2 transferable college credits or is expected to earn an associate's
3 degree in fewer than 5 years. A pupil who graduates with both a
4 high school diploma and at least 60 transferable college credits or
5 an associate degree at least 1 semester early is considered to have
6 completed the middle college program in fewer than 5 years.

7 (ll) If a district's or public school academy's membership for
8 a particular fiscal year, as otherwise calculated under this
9 subsection, includes pupils counted in membership who are enrolled
10 under section 166b, all of the following apply for the purposes of
11 this subdivision:

12 (i) If the district's or public school academy's membership for
13 pupils counted under section 166b equals or exceeds 5% of the
14 district's or public school academy's membership for pupils not
15 counted in membership under section 166b in the immediately
16 preceding fiscal year, then the growth in the district's or public
17 school academy's membership for pupils counted under section 166b
18 must not exceed 10%.

19 (ii) If the district's or public school academy's membership
20 for pupils counted under section 166b is less than 5% of the
21 district's or public school academy's membership for pupils not
22 counted in membership under section 166b in the immediately
23 preceding fiscal year, then the district's or public school
24 academy's membership for pupils counted under section 166b must not
25 exceed the greater of the following:

26 (A) Five percent of the district's or public school academy's
27 membership for pupils not counted in membership under section 166b.

28 (B) Ten percent more than the district's or public school
29 academy's membership for pupils counted under section 166b in the



1 immediately preceding fiscal year.

2 (iii) If 1 or more districts consolidate or are parties to an
3 annexation, then the calculations under subparagraphs (i) and (ii)
4 must be applied to the combined total membership for pupils counted
5 in those districts for the fiscal year immediately preceding the
6 consolidation or annexation.

7 (5) "Public school academy" means that term as defined in
8 section 5 of the revised school code, MCL 380.5.

9 (6) "Pupil" means an individual in membership in a public
10 school. A district must have the approval of the pupil's district
11 of residence to count the pupil in membership, except approval by
12 the pupil's district of residence is not required for any of the
13 following:

14 (a) A nonpublic part-time pupil enrolled in grades K to 12 in
15 accordance with section 166b.

16 (b) A pupil receiving 1/2 or less of the pupil's instruction
17 in a district other than the pupil's district of residence.

18 (c) A pupil enrolled in a public school academy.

19 (d) A pupil enrolled in a district other than the pupil's
20 district of residence if the pupil is enrolled in accordance with
21 section 105 or 105c.

22 (e) A pupil who has made an official written complaint or
23 whose parent or legal guardian has made an official written
24 complaint to law enforcement officials and to school officials of
25 the pupil's district of residence that the pupil has been the
26 victim of a criminal sexual assault or other serious assault, if
27 the official complaint either indicates that the assault occurred
28 at school or that the assault was committed by 1 or more other
29 pupils enrolled in the school the pupil would otherwise attend in



1 the district of residence or by an employee of the district of
 2 residence. A person who intentionally makes a false report of a
 3 crime to law enforcement officials for the purposes of this
 4 subdivision is subject to section 411a of the Michigan penal code,
 5 1931 PA 328, MCL 750.411a, which provides criminal penalties for
 6 that conduct. As used in this subdivision:

7 (i) "At school" means in a classroom, elsewhere on school
 8 premises, on a school bus or other school-related vehicle, or at a
 9 school-sponsored activity or event whether or not it is held on
 10 school premises.

11 (ii) "Serious assault" means an act that constitutes a felony
 12 violation of chapter XI of the Michigan penal code, 1931 PA 328,
 13 MCL 750.81 to ~~750.90h~~, **750.90g**, or that constitutes an assault and
 14 infliction of serious or aggravated injury under section 81a of the
 15 Michigan penal code, 1931 PA 328, MCL 750.81a.

16 (f) A pupil whose district of residence changed after the
 17 pupil membership count day and before the supplemental count day
 18 and who continues to be enrolled on the supplemental count day as a
 19 nonresident in the district in which the pupil was enrolled as a
 20 resident on the pupil membership count day of the same school year.

21 (g) A pupil enrolled in an alternative education program
 22 operated by a district other than the pupil's district of residence
 23 who meets 1 or more of the following:

24 (i) The pupil has been suspended or expelled from the pupil's
 25 district of residence for any reason, including, but not limited
 26 to, a suspension or expulsion under section 1310, 1311, or 1311a of
 27 the revised school code, MCL 380.1310, 380.1311, and 380.1311a.

28 (ii) The pupil had previously dropped out of school.

29 (iii) The pupil is pregnant or is a parent.



1 (iv) The pupil has been referred to the program by a court.

2 (h) A pupil enrolled in the Michigan Virtual School, for the
3 pupil's enrollment in the Michigan Virtual School.

4 (i) A pupil who is the child of a person who works at the
5 district or who is the child of a person who worked at the district
6 as of the time the pupil first enrolled in the district but who no
7 longer works at the district due to a workforce reduction. As used
8 in this subdivision, "child" includes an adopted child, stepchild,
9 or legal ward.

10 (j) An expelled pupil who has been denied reinstatement by the
11 expelling district and is reinstated by another school board under
12 section 1311 or 1311a of the revised school code, MCL 380.1311 and
13 380.1311a.

14 (k) A pupil enrolled in a district other than the pupil's
15 district of residence in a middle college program if the pupil's
16 district of residence and the enrolling district are both
17 constituent districts of the same intermediate district.

18 (l) A pupil enrolled in a district other than the pupil's
19 district of residence who attends a United States Olympic Education
20 Center.

21 (m) A pupil enrolled in a district other than the pupil's
22 district of residence under section 1148(2) of the revised school
23 code, MCL 380.1148.

24 (n) A pupil who enrolls in a district other than the pupil's
25 district of residence as a result of the pupil's school not making
26 adequate yearly progress under the no child left behind act of
27 2001, Public Law 107-110, or the every student succeeds act, Public
28 Law 114-95. However, if a district educates pupils who reside in
29 another district and if the primary instructional site for those



1 pupils is established by the educating district after 2009-2010 and
2 is located within the boundaries of that other district, the
3 educating district must have the approval of that other district to
4 count those pupils in membership.

5 (7) "Pupil membership count day" of a district or intermediate
6 district means:

7 (a) Except as provided in subdivision (b) or (c), either of
8 the following:

9 (i) The first Wednesday in October each school year.

10 (ii) For a district or building in which school is not in
11 session on the Wednesday described in subparagraph (i) due to
12 conditions not within the control of school authorities, with the
13 approval of the superintendent, the immediately following day on
14 which school is in session in the district or building.

15 (b) Except as otherwise provided in subdivision (c), for a
16 district or intermediate district maintaining school during the
17 entire school year, the following days:

18 (i) Fourth Wednesday in July.

19 (ii) First Wednesday in October.

20 (iii) Second Wednesday in February.

21 (iv) Fourth Wednesday in April.

22 (c) If a date listed in subdivision (a) or (b) is on a day of
23 religious or cultural significance, as determined by the district
24 or intermediate district, the immediately following day on which
25 school is in session in the district or building.

26 (8) "Pupils in grades K to 12 actually enrolled and in regular
27 daily attendance" means, except as otherwise provided in this
28 section, pupils in grades K to 12 in attendance and receiving
29 instruction in all classes for which they are enrolled on the pupil



1 membership count day or the supplemental count day, as applicable.
2 Except as otherwise provided in this section and subsection, a
3 pupil who is absent from any of the classes in which the pupil is
4 enrolled on the pupil membership count day or supplemental count
5 day and who does not attend each of those classes during the 10
6 consecutive school days immediately following the pupil membership
7 count day or supplemental count day, except for a pupil who has
8 been excused by the district, is not counted as 1.0 full-time
9 equated membership. Except as otherwise provided in this section, a
10 pupil who is excused from attendance on the pupil membership count
11 day or supplemental count day and who fails to attend each of the
12 classes in which the pupil is enrolled within 30 calendar days
13 after the pupil membership count day or supplemental count day is
14 not counted as 1.0 full-time equated membership. Except as
15 otherwise provided in this section, in addition, a pupil who was
16 enrolled and in attendance in a district, intermediate district, or
17 public school academy before the pupil membership count day or
18 supplemental count day of a particular year but was expelled or
19 suspended on the pupil membership count day or supplemental count
20 day is only counted as 1.0 full-time equated membership if the
21 pupil resumed attendance in the district, intermediate district, or
22 public school academy within 45 days after the pupil membership
23 count day or supplemental count day of that particular year. Except
24 as otherwise provided in this section, a pupil not counted as 1.0
25 full-time equated membership due to an absence from a class is
26 counted as a prorated membership for the classes the pupil
27 attended. For purposes of this subsection:

28 (a) "Appropriately placed" means holding a valid Michigan
29 educator credential with the required grade range and discipline or



1 subject area for the assignment, as defined by the superintendent
2 of public instruction.

3 (b) "Class" means either of the following, as applicable:

4 (i) A period of time in 1 day when pupils and an individual who
5 is appropriately placed under a valid certificate, substitute
6 permit, authorization, or approval issued by the department, are
7 together and instruction is taking place. This subdivision does not
8 apply for the 2024-2025 and 2025-2026 school years.

9 (ii) For the 2024-2025 and 2025-2026 school years only, a
10 period of time in 1 day when pupils and a certificated teacher, a
11 teacher engaged to teach under section 1233b of the revised school
12 code, MCL 380.1233b, or an individual working under a valid
13 substitute permit, authorization, or approval issued by the
14 department are together and instruction is taking place.

15 (9) "Rule" means a rule promulgated pursuant to the
16 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
17 24.328.

18 (10) "The revised school code" means the revised school code,
19 1976 PA 451, MCL 380.1 to 380.1852.

20 (11) "School district of the first class", "first class school
21 district", and "district of the first class" mean, for the purposes
22 of this article only, a district that had at least 40,000 pupils in
23 membership for the immediately preceding fiscal year.

24 (12) "School fiscal year" means a fiscal year that commences
25 July 1 and continues through June 30.

26 (13) "State board" means the state board of education.

27 (14) "Superintendent", unless the context clearly refers to a
28 district or intermediate district superintendent, means the
29 superintendent of public instruction described in section 3 of



1 article VIII of the state constitution of 1963.

2 (15) "Supplemental count day" means the day on which the
3 supplemental pupil count is conducted under section 6a.

4 (16) "Tuition pupil" means a pupil of school age attending
5 school in a district other than the pupil's district of residence
6 for whom tuition may be charged to the district of residence.

7 Tuition pupil does not include a pupil who is a special education
8 pupil, a pupil described in subsection (6)(d) to (n), or a pupil
9 whose parent or guardian voluntarily enrolls the pupil in a
10 district that is not the pupil's district of residence. A pupil's
11 district of residence shall not require a high school tuition
12 pupil, as provided under section 111, to attend another school
13 district after the pupil has been assigned to a school district.

14 (17) "State school aid fund" means the state school aid fund
15 established in section 11 of article IX of the state constitution
16 of 1963.

17 (18) "Taxable value" means, except as otherwise provided in
18 this article, the taxable value of property as determined under
19 section 27a of the general property tax act, 1893 PA 206, MCL
20 211.27a.

21 (19) "Textbook" means a book, electronic book, or other
22 instructional print or electronic resource that is selected and
23 approved by the governing board of a district and that contains a
24 presentation of principles of a subject, or that is a literary work
25 relevant to the study of a subject required for the use of
26 classroom pupils, or another type of course material that forms the
27 basis of classroom instruction.

28 (20) "Total state aid" or "total state school aid", except as
29 otherwise provided in this article, means the total combined amount



1 of all funds due to a district, intermediate district, or other
2 entity under this article.

3 Sec. 18. (1) Except as provided in another section of this
4 article, each district or other entity shall apply the money
5 received by the district or entity under this article to salaries
6 and other compensation of teachers and other employees, tuition,
7 transportation, lighting, heating, ventilation, water service, the
8 purchase of textbooks, other supplies, and any other school
9 operating expenditures defined in section 7. However, not more than
10 20% of the total amount received by a district under sections 22a
11 and 22b or received by an intermediate district under section 81
12 may be transferred by the board to either the capital projects fund
13 or to the debt retirement fund for debt service. A district or
14 other entity shall not apply or take the money for a purpose other
15 than as provided in this section. The department shall determine
16 the reasonableness of expenditures and may withhold from a
17 recipient of funds under this article the apportionment otherwise
18 due upon a violation by the recipient. A district must not be
19 prohibited or limited from using funds appropriated or allocated
20 under this article that are permitted for use for noninstructional
21 services to contract or subcontract with an intermediate district,
22 third party, or vendor for the noninstructional services.

23 (2) A district or intermediate district shall adopt an annual
24 budget in a manner that complies with the uniform budgeting and
25 accounting act, 1968 PA 2, MCL 141.421 to 141.440a. Within 15 days
26 after a district board adopts its annual operating budget for the
27 following school fiscal year, or after a district board adopts a
28 subsequent revision to that budget, the district shall make all of
29 the following available through a link on its website homepage, or



1 may make the information available through a link on its
2 intermediate district's website homepage, in a form and manner
3 prescribed by the department:

4 (a) The annual operating budget and subsequent budget
5 revisions.

6 (b) Using data that have already been collected and submitted
7 to the department, a summary of district expenditures for the most
8 recent fiscal year for which they are available, expressed in the
9 following 2 visual displays:

10 (i) A chart of personnel expenditures, broken into the
11 following subcategories:

12 (A) Salaries and wages.

13 (B) Employee benefit costs, including, but not limited to,
14 medical, dental, vision, life, disability, and long-term care
15 benefits.

16 (C) Retirement benefit costs.

17 (D) All other personnel costs.

18 (ii) A chart of all district expenditures, broken into the
19 following subcategories:

20 (A) Instruction.

21 (B) Support services.

22 (C) Business and administration.

23 (D) Operations and maintenance.

24 (c) Links to all of the following:

25 (i) The current collective bargaining agreement for each
26 bargaining unit.

27 (ii) Each health care benefits plan, including, but not limited
28 to, medical, dental, vision, disability, long-term care, or any
29 other type of benefits that would constitute health care services,



1 offered to any bargaining unit or employee in the district.

2 (iii) The audit report of the financial audit conducted under
3 subsection (4) for the most recent fiscal year for which it is
4 available.

5 (iv) The bids required under section 5 of the public employees
6 health benefit act, 2007 PA 106, MCL 124.75.

7 (v) The district's written policy governing procurement of
8 supplies, materials, and equipment.

9 (vi) The district's written policy establishing specific
10 categories of reimbursable expenses, as described in section
11 1254(2) of the revised school code, MCL 380.1254.

12 (vii) Either the district's accounts payable check register for
13 the most recent school fiscal year or a statement of the total
14 amount of expenses incurred by board members or employees of the
15 district that were reimbursed by the district for the most recent
16 school fiscal year.

17 (d) The total salary and a description and cost of each fringe
18 benefit included in the compensation package for the superintendent
19 of the district and for each employee of the district whose salary
20 exceeds \$100,000.00.

21 (e) The annual amount spent on dues paid to associations.

22 (f) The annual amount spent on lobbying or lobbying services.
23 As used in this subdivision, "lobbying" means that term as defined
24 in section 5 of 1978 PA 472, MCL 4.415.

25 (g) Any deficit elimination plan or enhanced deficit
26 elimination plan the district was required to submit under the
27 revised school code.

28 (h) Identification of all credit cards maintained by the
29 district as district credit cards, the identity of all individuals



1 authorized to use each of those credit cards, the credit limit on
2 each credit card, and the dollar limit, if any, for each
3 individual's authorized use of the credit card.

4 (i) Costs incurred for each instance of out-of-state travel by
5 the school administrator of the district that is fully or partially
6 paid for by the district and the details of each of those instances
7 of out-of-state travel, including at least identification of each
8 individual on the trip, destination, and purpose.

9 (3) For the information required under subsection (2)(a),
10 (2)(b)(i), and (2)(c), an intermediate district shall provide the
11 same information in the same manner as required for a district
12 under subsection (2).

13 (4) For the purposes of determining the reasonableness of
14 expenditures, whether a district or intermediate district has
15 received the proper amount of funds under this article, and whether
16 a violation of this article has occurred, all of the following
17 apply:

18 (a) The department shall require that each district and
19 intermediate district have an audit of the district's or
20 intermediate district's financial and pupil accounting records
21 conducted at least annually, and at such other times as determined
22 by the department, at the expense of the district or intermediate
23 district, as applicable. The audits must be performed by a
24 certified public accountant or by the intermediate district
25 superintendent, as may be required by the department, or in the
26 case of a district of the first class by a certified public
27 accountant, the intermediate superintendent, or the auditor general
28 of the city. A district or intermediate district shall retain these
29 records for the current fiscal year and from at least the 3



1 immediately preceding fiscal years.

2 (b) If a district operates in a single building with fewer
3 than 700 full-time equated pupils, if the district has stable
4 membership, and if the error rate of the immediately preceding 2
5 pupil accounting field audits of the district is less than 2%, the
6 district may have a pupil accounting field audit conducted
7 biennially but must continue to have desk audits for each pupil
8 count. The auditor must document compliance with the audit cycle in
9 the pupil auditing manual. As used in this subdivision, "stable
10 membership" means that the district's membership for the current
11 fiscal year varies from the district's membership for the
12 immediately preceding fiscal year by less than 5%.

13 (c) A district's or intermediate district's annual financial
14 audit must include an analysis of the financial and pupil
15 accounting data used as the basis for distribution of state school
16 aid.

17 (d) The pupil and financial accounting records and reports,
18 audits, and management letters are subject to **subdivision (h) and**
19 **any** requirements established in the auditing and accounting manuals
20 approved and published by the department.

21 (e) All of the following must be done not later than November
22 1 each year for reporting the prior fiscal year data:

23 (i) A district shall file the annual financial audit reports
24 with the intermediate district and the department. If the issuance
25 of single audits is delayed for the 2024-25 school year due to a
26 late issuance of a Compliance Supplement, the single audit portion
27 of that audit must be filed within 30 days of the issuance of the
28 Compliance Supplement by OMB.

29 (ii) The intermediate district shall file the annual financial



1 audit reports for the intermediate district with the department. If
2 the issuance of single audits is delayed for the 2024-25 school
3 year due to a late issuance of a Compliance Supplement, the single
4 audit portion of that audit must be filed within 30 days of the
5 issuance of the Compliance Supplement by OMB.

6 (iii) The intermediate district shall enter the pupil membership
7 audit reports, known as the audit narrative, for its constituent
8 districts and for the intermediate district, for the pupil
9 membership count day and supplemental count day, in the Michigan
10 student data system.

11 (f) The annual financial audit reports and pupil accounting
12 procedures reports must be available to the public in compliance
13 with the freedom of information act, 1976 PA 442, MCL 15.231 to
14 15.246.

15 (g) Not later than January 31 of each year, the department
16 shall notify the state budget director and the legislative
17 appropriations subcommittees responsible for review of the school
18 aid budget of districts and intermediate districts that have not
19 filed an annual financial audit and pupil accounting procedures
20 report required under this section for the school year ending in
21 the immediately preceding fiscal year.

22 **(h) The department has the authority to override the**
23 **determination of a pupil membership auditor regarding a district's**
24 **or intermediate district's pupil count.**

25 (5) By the first business day in November of each fiscal year,
26 each district and intermediate district shall submit to the center,
27 in a manner prescribed by the center, annual comprehensive
28 financial data consistent with the district's or intermediate
29 district's audited financial statements and consistent with



1 accounting manuals and charts of accounts approved and published by
2 the department. For an intermediate district, the report must also
3 contain the website address where the department can access the
4 report required under section 620 of the revised school code, MCL
5 380.620. The department shall ensure that the prescribed Michigan
6 public school accounting manual chart of accounts includes standard
7 conventions to distinguish expenditures by allowable fund function
8 and object. The functions must include at minimum categories for
9 instruction, pupil support, instructional staff support, general
10 administration, school administration, business administration,
11 transportation, facilities operation and maintenance, facilities
12 acquisition, and debt service; and must include object
13 classifications of salary, benefits, including categories for
14 active employee health expenditures, purchased services, supplies,
15 capital outlay, and other. A district shall report the required
16 level of detail consistent with the manual as part of the
17 comprehensive annual financial report.

18 (6) By the last business day in September of each year, each
19 district and intermediate district shall file with the center the
20 special education actual cost report, known as "SE-4096", on a form
21 and in the manner prescribed by the center. An intermediate
22 district shall certify the audit of a district's report.

23 (7) By not later than 1 week after the last business day in
24 September of each year, each district and intermediate district
25 shall file with the center the audited transportation expenditure
26 report, known as "SE-4094", on a form and in the manner prescribed
27 by the center. An intermediate district shall certify the audit of
28 a district's report.

29 (8) The department shall review its pupil accounting and pupil



1 auditing manuals at least annually and shall periodically update
2 those manuals to reflect changes in this article. Any changes to
3 the pupil accounting manual that are applicable for the school year
4 that begins after March 31 of a fiscal year must be published by
5 not later than March 31 of that fiscal year. However, if
6 legislation is enacted that necessitates adjustments to the pupil
7 accounting manual after March 31 of a fiscal year, and a district
8 incurs a violation of the amended pupil accounting manual in the
9 subsequent fiscal year, the department must notify the district of
10 that violation and allow the district 30 days to correct the
11 violation before the department is allowed to impose financial
12 penalties under this act related to the violation.

13 (9) If a district that is a public school academy purchases
14 property using money received under this article, the public school
15 academy shall retain ownership of the property unless the public
16 school academy sells the property at fair market value.

17 (10) If a district or intermediate district does not comply
18 with subsections (4), (5), (6), (7), and (12), or if the department
19 determines that the financial data required under subsection (5)
20 are not consistent with audited financial statements, the
21 department shall withhold all state school aid due to the district
22 or intermediate district under this article, beginning with the
23 next payment due to the district or intermediate district, until
24 the district or intermediate district complies with subsections
25 (4), (5), (6), (7), and (12). If the district or intermediate
26 district does not comply with subsections (4), (5), (6), (7), and
27 (12) by the end of the fiscal year, the district or intermediate
28 district forfeits the amount withheld.

29 (11) If a district or intermediate district does not comply



1 with subsection (2), the department may withhold up to 10% of the
2 total state school aid due to the district or intermediate district
3 under this article, beginning with the next payment due to the
4 district or intermediate district, until the district or
5 intermediate district complies with subsection (2). If the district
6 or intermediate district does not comply with subsection (2) by the
7 end of the fiscal year, the district or intermediate district
8 forfeits the amount withheld.

9 (12) By November 1 of each year, if a district or intermediate
10 district offers virtual learning under section 21f, or for a school
11 of excellence that is a cyber school, as defined in section 551 of
12 the revised school code, MCL 380.551, the district or intermediate
13 district shall submit to the department a report that details the
14 per-pupil costs of operating the virtual learning by vendor type
15 and virtual learning model. The report must include information
16 concerning the operation of virtual learning for the immediately
17 preceding school fiscal year, including information concerning
18 summer programming. Information must be collected in a form and
19 manner determined by the department and must be collected in the
20 most efficient manner possible to reduce the administrative burden
21 on reporting entities.

22 (13) By March 31 of each year, the department shall submit to
23 the house and senate appropriations subcommittees on state school
24 aid, the state budget director, and the house and senate fiscal
25 agencies a report summarizing the per-pupil costs by vendor type of
26 virtual courses available under section 21f and virtual courses
27 provided by a school of excellence that is a cyber school, as
28 defined in section 551 of the revised school code, MCL 380.551.

29 (14) As used in subsections (12) and (13), "vendor type" means



1 the following:

2 (a) Virtual courses provided by the Michigan Virtual
3 University.

4 (b) Virtual courses provided by a school of excellence that is
5 a cyber school, as defined in section 551 of the revised school
6 code, MCL 380.551.

7 (c) Virtual courses provided by third party vendors not
8 affiliated with a public school in this state.

9 (d) Virtual courses created and offered by a district or
10 intermediate district.

11 (15) An allocation to a district or another entity under this
12 article is contingent upon the district's or entity's compliance
13 with this section.

14 (16) The department shall annually submit to the senate and
15 house subcommittees on school aid and to the senate and house
16 standing committees on education an itemized list of allocations
17 under this article to any association or consortium consisting of
18 associations in the immediately preceding fiscal year. The report
19 must detail the recipient or recipients, the amount allocated, and
20 the purpose for which the funds were distributed.

21 Sec. 101. (1) To be eligible to receive state aid under this
22 article, not later than the fifth Wednesday after the pupil
23 membership count day and not later than the fifth Wednesday after
24 the supplemental count day, each district superintendent shall
25 submit and certify to the center and the intermediate
26 superintendent, in the form and manner prescribed by the center,
27 the number of pupils enrolled and in regular daily attendance,
28 including identification of tuition-paying pupils, in the district
29 as of the pupil membership count day and as of the supplemental



1 count day, as applicable, for the current school year. In addition,
2 a district maintaining school during the entire year shall submit
3 and certify to the center and the intermediate superintendent, in
4 the form and manner prescribed by the center, the number of pupils
5 enrolled and in regular daily attendance in the district for the
6 current school year pursuant to rules promulgated by the
7 superintendent. Not later than the sixth Wednesday after the pupil
8 membership count day and not later than the sixth Wednesday after
9 the supplemental count day, the district shall resolve any pupil
10 membership conflicts with another district, correct any data
11 issues, and recertify the data in a form and manner prescribed by
12 the center and file the certified data with the intermediate
13 superintendent. If a district fails to submit and certify the
14 attendance data, as required under this subsection, the center
15 shall notify the department and the department shall withhold state
16 aid due to be distributed under this article from the defaulting
17 district immediately, beginning with the next payment after the
18 failure and continuing with each payment until the district
19 complies with this subsection. If a district does not comply with
20 this subsection by the end of the fiscal year, the district
21 forfeits the amount withheld. A person who willfully falsifies a
22 figure or statement in the certified and sworn copy of enrollment
23 is subject to penalty as prescribed by section 161.

24 (2) To be eligible to receive state aid under this article,
25 not later than the twenty-fourth Wednesday after the pupil
26 membership count day and not later than the twenty-fourth Wednesday
27 after the supplemental count day, an intermediate district shall
28 submit to the center, in a form and manner prescribed by the
29 center, the audited enrollment and attendance data as described in



1 subsection (1) for the pupils of its constituent districts and of
2 the intermediate district. If an intermediate district fails to
3 submit the audited data as required under this subsection, the
4 department shall withhold state aid due to be distributed under
5 this article from the defaulting intermediate district immediately,
6 beginning with the next payment after the failure and continuing
7 with each payment until the intermediate district complies with
8 this subsection. If an intermediate district does not comply with
9 this subsection by the end of the fiscal year, the intermediate
10 district forfeits the amount withheld.

11 (3) Except as otherwise provided in subsections (11) and (12)
12 all of the following apply to the provision of pupil instruction:

13 (a) Except as otherwise provided in this section, each
14 district shall provide at least 1,098 hours and 180 days of pupil
15 instruction. If a collective bargaining agreement that provides a
16 complete school calendar was in effect for employees of a district
17 as of June 24, 2014, and if that school calendar is not in
18 compliance with this subdivision, then this subdivision does not
19 apply to that district until after the expiration of that
20 collective bargaining agreement. A district may apply for a waiver
21 under subsection (9) or subdivision (h) from the requirements of
22 this subdivision.

23 (b) Except as otherwise provided in this article, a district
24 failing to comply with the required minimum hours and days of pupil
25 instruction under this subsection forfeits from its total state aid
26 allocation an amount determined by applying a ratio of the number
27 of hours or days the district was in noncompliance in relation to
28 the required minimum number of hours and days under this
29 subsection. Not later than the first business day in August, the



1 board of each district shall either certify to the department that
2 the district was in full compliance with this section regarding the
3 number of hours and days of pupil instruction in the previous
4 school year, or report to the department, in a form and manner
5 prescribed by the center, each instance of noncompliance. If the
6 district did not provide at least the required minimum number of
7 hours and days of pupil instruction under this subsection, the
8 department shall make the deduction of state aid in the following
9 fiscal year from the first payment of state school aid. A district
10 is not subject to forfeiture of funds under this subsection for a
11 fiscal year in which a forfeiture was already imposed under
12 subsection (6).

13 (c) Hours or days lost because of strikes or teachers'
14 conferences are not counted as hours or days of pupil instruction.

15 (d) Except as otherwise provided in subdivisions (e) and (f),
16 if a district does not have at least 75% of the district's
17 membership in attendance on any day of pupil instruction, the
18 department shall pay the district state aid in that proportion of
19 $1/180$ that the actual percent of attendance bears to 75%.

20 (e) If a district adds 1 or more days of pupil instruction to
21 the end of its instructional calendar for a school year to comply
22 with subdivision (a) because the district otherwise would fail to
23 provide the required minimum number of days of pupil instruction
24 even after the operation of subsection (4) due to conditions not
25 within the control of school authorities, then subdivision (d) does
26 not apply for any day of pupil instruction that is added to the end
27 of the instructional calendar. Instead, for any of those days, if
28 the district does not have at least 60% of the district's
29 membership in attendance on that day, the department shall pay the



1 district state aid in that proportion of 1/180 that the actual
2 percentage of attendance bears to 60%. For any day of pupil
3 instruction added to the instructional calendar as described in
4 this subdivision, the district shall report to the department the
5 percentage of the district's membership that is in attendance, in
6 the form and manner prescribed by the department.

7 (f) At the request of a district that operates a department-
8 approved alternative education program and that does not provide
9 instruction for pupils in all of grades K to 12, the superintendent
10 shall grant a waiver from the requirements of subdivision (d). The
11 waiver must provide that an eligible district is subject to the
12 proration provisions of subdivision (d) only if the district does
13 not have at least 50% of the district's membership in attendance on
14 any day of pupil instruction. In order to be eligible for this
15 waiver, a district must maintain records to substantiate its
16 compliance with the following requirements:

17 (i) The district offers the minimum hours of pupil instruction
18 as required under this section.

19 (ii) For each enrolled pupil, the district uses appropriate
20 academic assessments to develop an individual education plan that
21 leads to a high school diploma.

22 (iii) The district tests each pupil to determine academic
23 progress at regular intervals and records the results of those
24 tests in that pupil's individual education plan.

25 (g) All of the following apply to a waiver granted under
26 subdivision (f):

27 (i) If the waiver is for a blended model of delivery, a waiver
28 that is granted for the 2011-2012 fiscal year or a subsequent
29 fiscal year remains in effect unless it is revoked by the



1 superintendent.

2 (ii) If the waiver is for a 100% online model of delivery and
3 the educational program for which the waiver is granted makes
4 educational services available to pupils for a minimum of at least
5 1,098 hours during a school year and ensures that each pupil
6 participates in the educational program for at least 1,098 hours
7 during a school year, a waiver that is granted for the 2011-2012
8 fiscal year or a subsequent fiscal year remains in effect unless it
9 is revoked by the superintendent.

10 (iii) A waiver that is not a waiver described in subparagraph
11 (i) or (ii) is valid for 3 fiscal years, unless it is revoked by the
12 superintendent, and must be renewed at the end of the 3-year period
13 to remain in effect.

14 (h) For the 2024-2025 school year only, a district does not
15 need to meet the minimum number of hours and days of pupil
16 instruction requirement under subdivision (a) if that district
17 meets all of the following requirements:

18 (i) The district is located wholly or partially in a county
19 that is covered by a state of emergency declared by the governor.

20 (ii) A majority of the district board votes to exempt the
21 district from the minimum number of hours and days of pupil
22 instruction required under subdivision (a).

23 (iii) The vote by the district board under subparagraph (ii)
24 exempts the district from providing only the hours and days of
25 pupil instruction actually missed due to the state of emergency.

26 (iv) The vote by the district board under subparagraph (ii)
27 exempts the district from not more than 15 days of pupil
28 instruction required under subdivision (a). The amount that may be
29 exempted under this subdivision is in addition to any days counted



1 as pupil instruction under subsection (4).

2 (i) The superintendent shall promulgate rules for the
3 implementation of this subsection.

4 (4) All of the following apply to the counting of hours and
5 days of pupil instruction under this section:

6 (a) Except as otherwise provided in this subsection, the first
7 6 days or the equivalent number of hours for which pupil
8 instruction is not provided because of conditions not within the
9 control of school authorities, such as severe storms, fires,
10 epidemics, utility power unavailability, water or sewer failure, or
11 health conditions as defined by the city, county, or state health
12 authorities, are counted as hours and days of pupil instruction.
13 For the 2025-2026 school year only, a district may count up to 4
14 additional days in which pupil instruction is not provided because
15 of conditions not within the control of school authorities as
16 described in this subdivision as hours and days of pupil
17 instruction if all of the following apply:

18 (i) A district seeking to count up to 4 additional days as
19 hours and days of pupil instruction under this subdivision is
20 located wholly or partially in any of the following counties:

21 (A) Mason County.

22 (B) Lake County.

23 (C) Osceola County.

24 (D) Clare County

25 (E) Gladwin County.

26 (F) Arenac County.

27 (G) Manistee County.

28 (H) Wexford County.

29 (I) Missaukee County.



1 (J) Roscommon County.
2 (K) Ogemaw County.
3 (L) Iosco County.
4 (M) Benzie County.
5 (N) Grand Traverse County.
6 (O) Kalkaska County.
7 (P) Crawford County.
8 (Q) Oscoda County.
9 (R) Alcona County.
10 (S) Leelanau County.
11 (T) Antrim County.
12 (U) Otsego County.
13 (V) Montmorency County.
14 (W) Alpena County.
15 (X) Charlevoix County.
16 (Y) Emmet County.
17 (Z) Cheboygan County.
18 (AA) Presque Isle County.
19 (BB) Gogebic County.
20 (CC) Ontonagon County.
21 (DD) Houghton County.
22 (EE) Iron County.
23 (FF) Baraga County.
24 (GG) Marquette County.
25 (HH) Dickinson County.
26 (II) Menominee County.
27 (JJ) Alger County.
28 (KK) Delta County.
29 (LL) Schoolcraft County.



1 (MM) Luce County.

2 (NN) Chippewa County.

3 (OO) Mackinac County.

4 (PP) Keweenaw County.

5 (ii) A district described in subparagraph (i) was not able to
6 provide pupil instruction on March 12, 13, 16, or 17 due to
7 conditions not within the control of school authorities as
8 described in this subdivision.

9 (iii) A district described in subparagraph (i) counts only the
10 dates described in subparagraph (ii) in which pupil instruction was
11 not provided as additional hours and days of pupil instruction
12 under this subdivision.

13 (b) For the 2025-2026 school year only, a district located in
14 a county described in Executive Order No. 2026-7 or Executive Order
15 No. 2026-9 may count up to 5 additional days in which pupil
16 instruction is not provided because of conditions not within the
17 control of school authorities as described in Executive Order No.
18 2026-7 or Executive Order No. 2026-9 as hours and days of pupil
19 instruction.

20 (c) For the 2025-2026 school year only, a district located in
21 a county or region described in Executive Order No. 2026-11 may
22 count up to 4 additional days in which pupil instruction is not
23 provided because of conditions not within the control of school
24 authorities as described in Executive Order No. 2026-11 as hours
25 and days of pupil instruction.

26 (d) With the approval of the superintendent of public
27 instruction, the department shall count as hours and days of pupil
28 instruction for a fiscal year not more than 3 additional days or
29 the equivalent number of additional hours for which pupil



1 instruction is not provided in a district due to unusual and
2 extenuating occurrences resulting from conditions not within the
3 control of school authorities such as those conditions described in
4 this subsection.

5 (e) A district that counts hours or days of professional
6 development for teachers as hours or days of pupil instruction, as
7 provided under subsection (10), is eligible to have additional
8 hours or days counted as hours and days of pupil instruction as
9 provided under subdivision (d) to the same extent as a district
10 that does not count hours or days of professional development for
11 teachers as hours or days of pupil instruction.

12 (f) In deciding whether to approve the counting of additional
13 hours or days of pupil instruction under subdivision (d) for a
14 district, the superintendent of public instruction shall not take
15 into account whether or not the district counts hours or days of
16 professional development for teachers as hours or days of pupil
17 instruction, as provided under subsection (10).

18 (g) Subsequent hours or days beyond those described in
19 subdivisions (a) to (d) are not counted as hours or days of pupil
20 instruction.

21 (5) A district does not forfeit part of its state aid
22 appropriation because it adopts or has in existence an alternative
23 scheduling program for pupils in kindergarten if the program
24 provides at least the number of hours required under subsection (3)
25 for a full-time equated membership for a pupil in kindergarten as
26 provided under section 6(4).

27 (6) In addition to any other penalty or forfeiture under this
28 section, if at any time the department determines that 1 or more of
29 the following have occurred in a district, the district forfeits in

1 the current fiscal year beginning in the next payment to be
2 calculated by the department a proportion of the funds due to the
3 district under this article that is equal to the proportion below
4 the required minimum number of hours and days of pupil instruction
5 under subsection (3), as specified in the following:

6 (a) The district fails to operate its schools for at least the
7 required minimum number of hours and days of pupil instruction
8 under subsection (3) in a school year, including hours and days
9 counted under subsection (4).

10 (b) The board of the district takes formal action not to
11 operate its schools for at least the required minimum number of
12 hours and days of pupil instruction under subsection (3) in a
13 school year, including hours and days counted under subsection (4).

14 (7) In providing the minimum number of hours and days of pupil
15 instruction required under subsection (3), a district shall use the
16 following guidelines, and a district shall maintain records to
17 substantiate its compliance with the following guidelines:

18 (a) Except as otherwise provided in this subsection, a pupil
19 must be scheduled for at least the required minimum number of hours
20 of instruction, excluding study halls, or at least the sum of 90
21 hours plus the required minimum number of hours of instruction,
22 including up to 2 study halls.

23 (b) The time a pupil is assigned to any tutorial activity in a
24 block schedule may be considered instructional time, unless that
25 time is determined in an audit to be a study hall period.

26 (c) Except as otherwise provided in this subdivision, a pupil
27 in grades 9 to 12 for whom a reduced schedule is determined to be
28 in the individual pupil's best educational interest, or a pupil in
29 grades 6 to 8 for whom a reduced schedule is determined to be in

1 the individual pupil's best educational interest due to the pupil's
2 participation in an advanced curriculum, must be scheduled for a
3 number of hours equal to at least 80% of the required minimum
4 number of hours of pupil instruction to be considered a full-time
5 equivalent pupil. A pupil in grades 6 to 12 who is scheduled in a
6 4-block schedule may receive a reduced schedule under this
7 subsection if the pupil is scheduled for a number of hours equal to
8 at least 75% of the required minimum number of hours of pupil
9 instruction to be considered a full-time equivalent pupil.

10 (d) For a pupil in grades 9 to 12 enrolled in a cooperative
11 education program, or for a special education pupil, in determining
12 full-time equated membership for that pupil, the pupil is not
13 considered less than a full-time equated pupil solely because of
14 the effect of the pupil's enrollment in the cooperative education
15 program or special education program, including necessary travel
16 time, on the number of class hours provided by the district to the
17 pupil.

18 (e) In grades 7 through 12, instructional time that is part of
19 a Junior Reserve Officer Training Corps (JROTC) program is
20 considered to be pupil instruction time regardless of whether the
21 instructor is a certificated teacher if all of the following are
22 met:

23 (i) The instructor has met all of the requirements established
24 by the United States Department of Defense and the applicable
25 branch of the armed services for serving as an instructor in the
26 Junior Reserve Officer Training Corps program.

27 (ii) The board of the district or intermediate district
28 employing or assigning the instructor complies with the
29 requirements of sections 1230 and 1230a of the revised school code,



1 MCL 380.1230 and 380.1230a, with respect to the instructor to the
2 same extent as if employing the instructor as a regular classroom
3 teacher.

4 (8) Except as otherwise provided in subsections (11) and (12),
5 the department shall apply the guidelines under subsection (7) in
6 calculating the full-time equivalency of pupils.

7 (9) Upon application by the district for a particular fiscal
8 year, the superintendent shall waive for a district the minimum
9 number of hours and days of pupil instruction requirement of
10 subsection (3) for a department-approved alternative education
11 program or another innovative program approved by the department,
12 including a 4-day school week. If a district applies for and
13 receives a waiver under this subsection and complies with the terms
14 of the waiver, the district is not subject to forfeiture under this
15 section for the specific program covered by the waiver. If the
16 district does not comply with the terms of the waiver, the amount
17 of the forfeiture is calculated based upon a comparison of the
18 number of hours and days of pupil instruction actually provided to
19 the minimum number of hours and days of pupil instruction required
20 under subsection (3). A district shall report pupils enrolled in a
21 department-approved alternative education program under this
22 subsection to the center in a form and manner determined by the
23 center. All of the following apply to a waiver granted under this
24 subsection:

25 (a) If the waiver is for a blended model of delivery, a waiver
26 that is granted for the 2011-2012 fiscal year or a subsequent
27 fiscal year remains in effect unless it is revoked by the
28 superintendent.

29 (b) If the waiver is for a 100% online model of delivery and



1 the educational program for which the waiver is granted makes
2 educational services available to pupils for a minimum of at least
3 1,098 hours during a school year and ensures that each pupil is on
4 track for course completion at proficiency level, a waiver that is
5 granted for the 2011-2012 fiscal year or a subsequent fiscal year
6 remains in effect unless it is revoked by the superintendent.

7 (c) A waiver that is not a waiver described in subdivision (a)
8 or (b) is valid for 3 fiscal years, unless it is revoked by the
9 superintendent, and must be renewed at the end of the 3-year period
10 to remain in effect.

11 (10) A district may count up to 38 hours of professional
12 development for teachers as hours of pupil instruction. All of the
13 following apply to the counting of professional development as
14 pupil instruction under this subsection:

15 (a) If the professional development exceeds 5 hours in a
16 single day, that day may be counted as a day of pupil instruction.

17 (b) At least 8 hours of the professional development counted
18 as hours of pupil instruction under this subsection must be
19 recommended by a districtwide professional development advisory
20 committee appointed by the district board. The advisory committee
21 must be composed of teachers employed by the district who represent
22 a variety of grades and subject matter specializations, including
23 special education; nonteaching staff; parents; and administrators.
24 The majority membership of the committee must be composed of
25 teaching staff.

26 (c) Professional development provided online is allowable and
27 encouraged, as long as the instruction has been approved by the
28 district. The department shall issue a list of approved online
29 professional development providers that must include the Michigan



1 Virtual School.

2 (d) Professional development may only be counted as hours of
3 pupil instruction under this subsection for the pupils of those
4 teachers scheduled to participate in the professional development.

5 (e) The professional development must meet all of the
6 following to be counted as pupil instruction under this subsection:

7 (i) Be aligned to the school or district improvement plan for
8 the school or district in which the professional development is
9 being provided.

10 (ii) Be linked to 1 or more criteria in the evaluation tool
11 developed or adopted by the district or intermediate district under
12 section 1249 of the revised school code, MCL 380.1249.

13 (iii) Has been approved by the department as counting for state
14 continuing education clock hours. The number of hours of
15 professional development counted as hours of pupil instruction
16 under this subsection may not exceed the number of state continuing
17 education clock hours for which the professional development was
18 approved.

19 (iv) Not more than a combined total of 10 hours of the
20 professional development takes place before the first scheduled day
21 of school for the school year ending in the fiscal year and after
22 the last scheduled day of school for that school year.

23 (v) Not more than 10 hours of the professional development
24 takes place in a single month.

25 (vi) At least 75% of teachers scheduled to participate in the
26 professional development are in attendance.

27 (11) Subsections (3) and (8) do not apply to a school of
28 excellence that is a cyber school, as that term is defined in
29 section 551 of the revised school code, MCL 380.551, and is in



1 compliance with section 553a of the revised school code, MCL
2 380.553a. Beginning July 1, 2021, this subsection is subject to
3 section 8c. It is the intent of the legislature that the
4 immediately preceding sentence apply retroactively and is effective
5 July 1, 2021.

6 (12) Subsections (3) and (8) do not apply to eligible pupils
7 enrolled in a dropout recovery program that meets the requirements
8 of section 23a. As used in this subsection, "eligible pupil" means
9 that term as defined in section 23a.

10 (13) At least every 2 years the superintendent shall review
11 the waiver standards set forth in the pupil accounting and auditing
12 manuals to ensure that the waiver standards and waiver process
13 continue to be appropriate and responsive to changing trends in
14 online learning. The superintendent shall solicit and consider
15 input from stakeholders as part of this review.

16 **(14) For a public innovative program operated under section**
17 **1278e of the revised school code, MCL 380.1278e, the department may**
18 **waive any of the requirements of this section as the department**
19 **determines necessary to enable the operation of the public**
20 **innovative program.**

21 Enacting section 1. This amendatory act does not take effect
22 unless Senate Bill No. ____ (request no. S06311'26) or House Bill
23 No. 5983 of the 103rd Legislature is enacted into law.